Economics of Inequality and Poverty

Difference between Equity and Equality

Equity – fairness with reference to income distribution. Concept is subjective.

Equality – not possible – no government will ever encourage this.

Economic inequality – refers to the degree that people in a population differ in their ability to satisfy their economic needs.

Causes of economic inequality

1. Unequal distribution of income – arises from differences in how evenly income is distributed in a population.

Sources of income – wages, salary, interest, rental income, pension, government benefits, dividends from shares.

2. Unequal distribution of wealth – arises from differences in the amount of wealth people own. Wealth is the assets owned – Liabilities [owe]. Examples of wealth – savings, property, gold and silver.

Measurement of income inequality

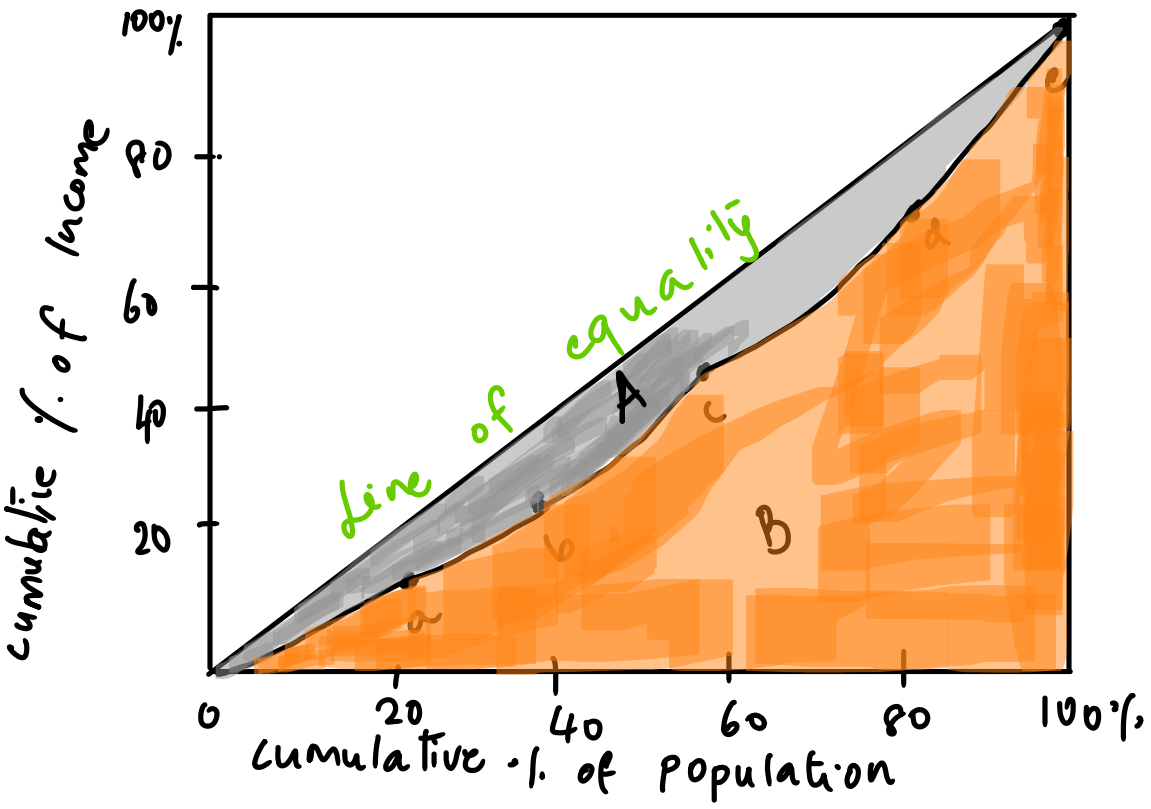
a. **Lorenz Curve** – it is used to show the degree of inequality in the economy

Steps to construct a Lorenz Curve:

- Draw a square box
- Vertical axis – measure the total amount of income in cumulative percentage.
- Horizontal axis – measure the total amount of population in cumulative percentage.
- Draw a diagonal line – represents perfect equality – i.e. 20% of the population receive 20% of the population.
- Plot the curve on the basis of the data provided

Example

Population	Income earned	Cumulative %
Poorest 20%	10%	10%
2nd poorest	15%	25%
3rd poorest	20%	45%
2nd richest	25%	70%
Richest 20%	30%	100%



Interpretation – the closer the Lorenz Curve is to the diagonal line represents perfect income equality, the greater is the equality in income distribution

Not possible to go above the line of equality

b. **Gini Co-efficient** – a summary measure of the information contained in the Lorenz Curve of an economy

Gini Co-efficient = $\frac{A}{A+B}$

Interpretation

- Value between 0 to 1 – closer the value to zero greater income equality
- Value to closer to 1 – greater income inequality

Wealth Inequality

Note: wealth inequality is more serious than income inequality

Reasons responsible for greater wealth inequality

1. Limited growth in wages – low income and middle income people find it difficult to save and accumulate wealth.

2. High income people spend a lower percentage of income as compared to low income groups hence, savings potential is greater for high income earners.

3. Income and wealth inequalities feed on each other – wealth is a source of income. When income increases – wealth increases.

Poverty – an inability to satisfy minimum consumption needs.

Types of Poverty

a. Absolute Poverty – refers to a situation where a person or family does not have enough income to meet basic human needs. Income is less than USD 1.90 per day

b. Relative Poverty – refers to a concept that compares the income of individuals or households in a society with median income. People may be able to buy basic needs they are still poor if they cannot afford goods and services, lifestyle that are typical in a society.

Measuring Poverty

a. Minimum Income Standards [MIS] – this method involves ongoing research on what people in a population believe are the essentials for a minimum acceptable standard of living that allows people to participate in society.

Steps:

Government conducts a survey and produces budgets for basket of goods.
Calculate the money required to buy the items in the basket
Government modify the basket for different family types

b. Multidimensional Poverty Index [MPI]

It includes

1. Health is measured using child mortality and nutrition
2. Education is measured using school attendance and years of schooling.
3. Living standards are measured – drinking water, sanitation, electricity and hygiene.

Interpretation
Each country receives an MPI – range of 0 to 1, lower value is considered better. Higher the value of MPI – higher is poverty level.

Difficulties in measuring poverty

Poverty has different meaning and different approaches to measurement
Difference between Absolute Poverty and Relative Poverty – which gives rise to different estimates on the extent of poverty.
Poverty is measured on the basis of income and measured on the basis of deprivation in different non-monetary areas e.g. Multidimensional Poverty Index – not consistent with each.

Measurement Problems
Income measurement of poverty does not take wealth or savings into consideration.
Information provided during surveys can be subjective – different people have different opinions about their economic system.
Surveys do not include homeless people – underestimates poverty
Income figures – may be understated in cases where there is a freelance work or income from investments resulting in overestimation of poverty.

Poverty lines tell us how many people fall below the poverty line but do not provide information on how much they fall below the poverty line.

Overestimation and underestimation of Poverty
Overestimation – larger percentage of population whose income falls below the national poverty line used by the government to argue in favour of receiving more foreign aid or multilateral assistance.

Underestimation – spend less on poverty alleviation and spend more on other activities.

Causes of Poverty
1. Inequality of Opportunity: is concerned with inequalities in potential outcomes in standard of living that arise from circumstances that are beyond ones control. E.g. parents' level of income, education and occupation and gender etc. There would be equality of opportunity if everyone began life from a situation where all factors like the above were equal.

2. Different levels of human capital
Human Capital – skills, education and health
Low level of skills – result in low income – result in poverty
Positive correlation between skills and income

3. Different levels of resource ownership
Some people inherit wealth – accumulate through savings - gives them both income advantage and increased wealth
Many others – have no resources to rely on other than their labour – which may not provide adequate income
Low income – live in poor housing – affect health – lower income potential.

4. Discrimination
Some social groups – racial and ethnic groups, women – face discrimination – results in low wages or difficulty to get a job.

5. Unequal Status and Power
Status – social or professional position in a society – related to power
Large inequalities in status – affect economic inequality as people in position can use it to influence government policies – to favour their own interest.

6. Government tax and benefit policies
Low-income groups rely on – transfer payments – if there are limited or reduced by the government – this will lead to poverty
If tax policies – favour the rich – increase income and wealth inequalities

7. Technological change – jobs get reduced to factor substitution – using capital in place of Labour – hence, wages of low skilled workers do not rise much. Due to new technologies – demand for high skilled workers will increase – as a result increase in income differences.

8. Globalisation – economic integration on a global scale. Due to globalisation increase in Foreign Direct Investment – increase income and wealth inequalities in both developing and developed countries.
Due to FDI – demand for skilled labour will increase and demand for unskilled labour will decrease – causing income inequalities
Due to outsourcing – lower domestic demand for certain skills.

9. Market based supply side policies – E.g. discouraging trade unions, reduction in bargaining power of labour, reducing minimum wage, reducing unemployment benefits – contribute significantly to increasing inequalities.

Impact of income and wealth inequality

Economic growth – usually higher level of inequality – not conducive for economic growth.

Reasons – inequality will lead to lower growth:

- Due to greater inequality – low-income groups reduce spending on human capital – low productivity – growth will decrease.
- Countries with higher income inequality – greater inequality of opportunity – children from low-income groups tend to low income.
- Wealthy usually spend a fraction on domestic goods and prefer to save in foreign countries – resources available for domestic investment are reduced – lower growth.
- Concentration of income and wealth in a few hands – result in political control and influence government policies for their self-interest at the cost of whole population – greatly reduces economic growth.
- If the rich influence government – less government provision – for public goods and merit goods – low growth.
- Higher inequalities in income distribution – poor cannot obtain loans – due to no collateral [security against the loan] – low investment by low-income groups – low growth. Also lead to less spending on human capital – low growth.
- High inequalities in distribution of income and wealth – social dissatisfaction, unrest, political instability – low growth.

Low Living Standards
Low income – low living standards – associated with stress, substance abuse, poor nutrition, poor health -result in poor income prospects.

Low living standards are a consequence of the following

- Lack of access to healthcare and education – lead to low human capital – low productivity and low income and poverty
- High infant, child and maternal mortality – due to inability to access healthcare services, poor nutrition
- High levels of preventable diseases – poor hygiene and nutrition – prone to illness.
- Social Problems – crime rates, homelessness, family breakdowns.

Inability to realise one's full potential – low income groups unable to realise their full potential – wastage of human talent – personal costs – lead to low economic growth

Social and Political stability

High income and wealth inequalities – result in class conflicts – due to different interests leads to reduced sense of solidarity and trust in the system.

Rich – have stronger political influence and economic inequality – leads to political inequality. Ultimately results in vicious circle of economic inequality and political inequality

Poor – socially inferior – giving rise to pronounced sense of dissatisfaction – pave way for social instability

Government support – by serving interest of the rich – who are big donors at the expense of the whole society.

Policies to reduce income and wealth inequalities and poverty

1. Role of taxation in promoting income redistribution

Taxation – most important source of revenue which can be used for public goods, merit goods, transfer payments, subsidies, correcting externalities

Categories of taxes

Direct tax – paid directly to the government

Examples of direct tax

Personal income tax e.g. wages, rental income, interest income

Corporate income tax e.g. tax on profits earned by firms

Wealth taxes – e.g. taxes on ownership of assets, property owned, inheritance taxes

Social insurance and social security contributions or payroll taxes – paid by workers and employers – revenue from this not paid into government budget – but funds to finance expenditure = pensions and social insurance.

Indirect tax – taxes on spending on goods and services paid by consumers to firms and by firms to the government.

Examples of indirect taxes

Goods and Services Tax [GST] – taxes on spending or sales of goods and services. Fixed percentage of retail price of goods and services e.g. 9% GST in SG.

Value Added Tax [VAT] – tax paid on the value added by each producer in the production process. Also in Percentage.

Excise tax – tax on specific goods and services e.g. cigarettes and petrol

Custom Duties/ Tariffs – taxes on imports.